Transaction 3.4

From the following Balance taken from the ledger of Shri Krishna on 31st March 2020, Prepare Trading and P&L Account for the year ended 31st March 2020 and the Balance Sheet as at 31st March 2020:

Sundry Creditors	19,000	Bad Debts	100
Building	15,000	Loan From Ram	2,500
Income Tax	1,025	Sundry Debtors	9,500
Loose Tools	1,000	Investment	6,500
Cash at Bank	16,200	Provision for doubtful Debts	1,600
Sundry Expenses	1,990	Rent & Rates	850
Bank Interest Cr	75	Furniture	3,000
Purchases	1,57,000	Stock (1.4.2019)	27,350
Wages	10,000	Capital	47,390
Carriage Inwards	1,120	Discount Allowed	630
Sales	1,85,000	Dividends Received	535
Motor Van	12,500	Bills Receivable	2,000
Cash In Hand	335	Bills Payable	10,000

Adjustments to be taken in to account

a) Write off further Rs 300 as bad out of Sundry Debtors and Create a Provision for doubtful debt at 20% on debtors
b) Dividends accrued and due on Investment is Rs 135. Rent paid in advance Rs 100 and Wages owing Rs 450
c) On 31st March 2020 Stock was valued at Rs 15,000 and loose Tools are valued at Rs 800
d) Write off 5 per cent for depreciation on Building and 40 per cent on Motor Van
e) Provide for interest at 12 per cent per annum due on Loan taken on 1.6.2019
f) Income tax paid has to be treated as drawings